

INITIATION OF COVERAGE

American Superconductor (Nasdaq: AMSC)

MY RATING

Underweight

Share price (2 Oct 2026)	\$30.01
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My blended value	\$16.88
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Value vs price	-44%
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Underweight means my blended value is below the share price.

AMSC looks overvalued, so I rate it Underweight

My model gives a blended value of \$16.88, which is 44% below the \$30.01 price (2 October 2026)

Underweight

My rating

\$30.01

Share price, 2 October 2026

\$16.88

My blended value of three methods

\$5.45 to \$24.45

Cash-flow values, Bear to Bull (Base \$11.47).
Peer multiples give \$12.32 to \$41.05

Five points explain my view

- 1 The business is real and growing.** Revenue rose from \$145.6M to \$299.2M in two years (March 2024 to March 2026). Orders waiting to be delivered (backlog) are \$420.6M.
- 2 Recent growth was mostly bought.** In the June 2026 quarter revenue grew 30%, but only 3% without Comtrafo, a Brazilian transformer maker AMSC bought in December 2025.
- 3 Profit is still thin.** Over the last twelve months adjusted EBITDA was 6.4% of revenue; similar companies (peers) earn about 18%. The \$133.8M net profit in the year to March 2026 included a one-time, non-cash tax gain of \$117.1M, not cash from operations.
- 4 The price already assumes success.** Even my Bull case is worth \$24.45, below today's price. The price makes sense only if AMSC reaches Bull-level results, or if the market keeps paying a high multiple in 2031.
- 5 The balance sheet is a real strength.** AMSC has \$143.7M of cash, no debt and about \$625M of US tax losses. Cash and tax losses add about \$3.79 per share (after the Comtrafo earn-out), so the floor under the stock is real but small.

What I am waiting for: faster organic growth, gross margin back above 30%, or a price of about \$9 to \$11.

The main figures in one place

Later slides explain each one

Market (2 October 2026)

Share price	\$30.01
Shares (diluted)	48.4 million
Market cap (all shares)	\$1,453.7M
Enterprise value*	\$1,341.9M
Cash	\$143.7M, no debt

Business (last twelve months to 30 June 2026)

Revenue	\$320.9M
Year to Mar-26	\$299.2M, up 34%
Gross margin	28.6%
Adjusted EBITDA	\$20.5M (6.4%)
Free cash flow	\$20.5M
Backlog	\$420.6M

AMSC vs four peers (median multiples)

EV to revenue	4.18x vs 4.11x
EV to adjusted EBITDA	65.5x vs 23.0x
Gross margin (peer average)	28.6% vs 31.7%
Adjusted EBITDA margin	6.4% vs 17.7%

My value per share

DCF: Bear / Base / Bull	\$5.45 / \$11.47 / \$24.45
Peers: EV to revenue	\$21.84 to \$41.05
Peers: EV to EBITDA	\$12.32 to \$15.45
Blended value	\$16.88 (43.8% below price)
Margin of safety (Graham)	-77.8%

*Enterprise value = market cap, less cash, plus the Contrafo earn-out. A negative margin of safety means the price is above my value.

AMSC keeps electric power steady

Its equipment lets factories, utilities, wind farms and navy ships run without interruption

Company facts

Nasdaq ticker

AMSC

Founded

1987

Headquarters

Ayer, Massachusetts

Employees

1,195

CEO

Daniel McGahn (CEO since 2011, Chairman since 2018)

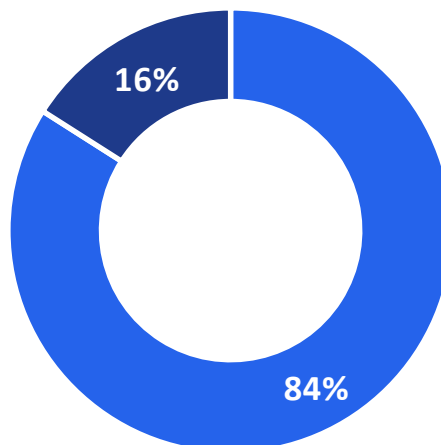
CFO

John Kosiba (since 2017)

Fiscal year ends

31 March

Revenue by segment, year to Mar-26



\$251.3M

Grid, 84% of revenue

\$47.8M

Wind, 16% of revenue

Two ideas behind the products



Smart materials. The main one is superconductor wire, which carries power with almost no loss and interruption.



Smart software and controls. For example the control systems in D-VAR and in wind turbines.

A note on years. AMSC calls the year to March 2026 "fiscal 2025". This report uses the March date (Mar-26).

Grid is 84% of revenue and Wind is 16%

Grid sells equipment that keeps power clean and steady. Wind earns money from control systems and design licenses

Grid

\$251.3M in the year to Mar-26

- **D-VAR voltage control systems.** Steady the grid, connect wind and solar farms, and protect chip factories from voltage sags (short drops in power that can ruin a production run).
- **Transformers and power converters.** Made by NEPSI, Neeltran and Comtrafo. Comtrafo, in Brazil, makes transformers up to 245 kV.
- **Power supplies and military-grade magnetics.** These come from NWL.
- **Power quality add-ons.** Examples are capacitor banks and harmonic filters.
- **Resilient Electric Grid (REG).** Superconductor cable for crowded city grids. Sales are still small.
- **Ship Protection Systems (SPS).** Shield navy ships from magnetic mines. AMSC says it is the only company with a superconductor-based system qualified for US Navy surface ships.

Wind

\$47.8M in the year to Mar-26



Electrical control systems (ECS). They act as the "brain and nerves" of a wind turbine and are about 10% or more of a turbine's parts cost.



Design licenses. AMSC licenses its turbine designs to manufacturers, such as Inox in India and Doosan in South Korea.

18,000+ MW

Capacity of turbines with AMSC equipment installed

Customers often pay before delivery

AMSC mostly sells equipment and complete "turnkey" systems straight to customers

\$420.6M

Backlog: orders signed but not yet delivered

\$102.6M

Deferred revenue at 30 June 2026 (customer prepayments)

15% to 19%

Inox share of revenue, year to Mar-26 vs June 2026 quarter

52%

Revenue from outside the US

How AMSC makes money

AMSC mostly sells equipment and complete "turnkey" systems straight to customers. A turnkey order covers design, equipment and installation in one package. Management says a turnkey order can lift revenue on a project by up to five times. Customers often pay before delivery.

Customers and backlog

More than 100 grid customers. They include US utilities, the US Navy, the Royal Canadian Navy, Huntington Ingalls, Micron, Targa Resources and SSE.

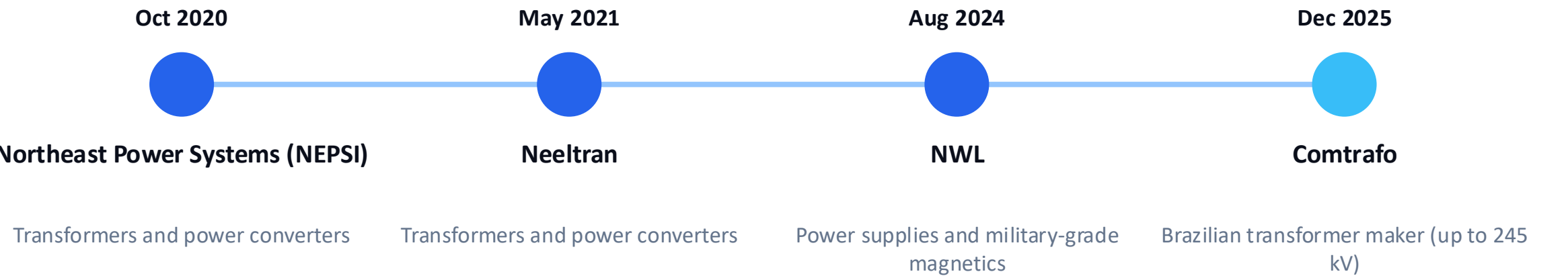
Two matter most. Inox (15% of revenue in the year to Mar-26, 19% in the June 2026 quarter) and Fuji Bridex (10%).

Currency. About 16% of revenue is under euro contracts and 7% under Brazilian real contracts.

Backlog of \$420.6M: \$301.8M due within 12 months and \$118.8M later, about 1.3 times the last twelve months of revenue. It can be cancelled or delayed, and may not all be profitable.

Four acquisitions since 2020

Each one added products, factories and customers



Comtrafo, the newest deal

\$88.3M Paid in cash, plus stock valued at \$33.01 per share	\$31.9M Earn-out still owed at 30 June 2026 if Comtrafo meets profit goals over three years	\$19.4M Revenue Comtrafo added in the June 2026 quarter
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AMSC is a cyclical comeback story

A company that lost money for most of its life is now growing fast, with seven straight profitable quarters as of March 2026

Why it lost money for so long



Heavy spending on new technology

Superconductors, power electronics, wind and defense systems took years of R&D before they sold in volume.



One customer was too big

Around 2010, the Chinese turbine maker Sinovel was more than two-thirds of revenue. When Sinovel stopped accepting shipments in 2011, revenue fell sharply.



Write-offs and restructuring

After the Sinovel crisis, AMSC wrote down inventory and assets and paid for restructuring.



Too little revenue for its fixed costs

R&D and overhead stayed high while revenue was low, so gross profit could not cover them.

The path so far



1987 to 2008

Losses for most of the first two decades



Fiscal 2009

First full-year profit



2011

Sinovel stops accepting shipments



After Sinovel

Back to losses for more than a decade



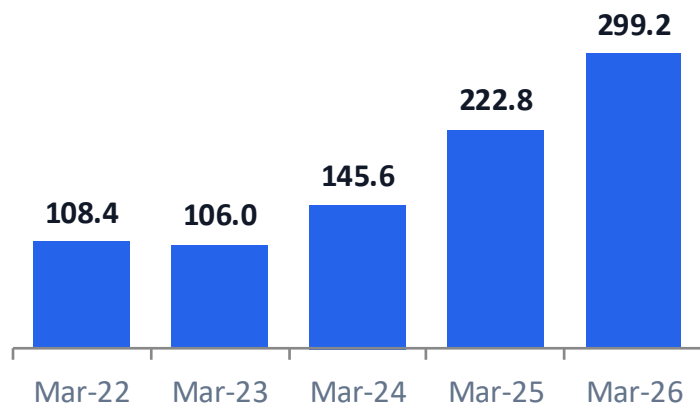
March 2026

Seven straight profitable quarters

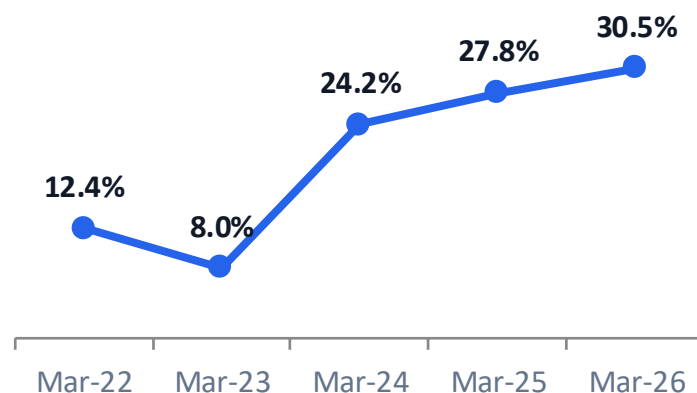
The turnaround shows up clearly in the numbers

Revenue grew from \$108.4M to \$299.2M, gross margin from 12.4% to 30.5%, and operating income from a \$21.1M loss to an \$11.4M profit

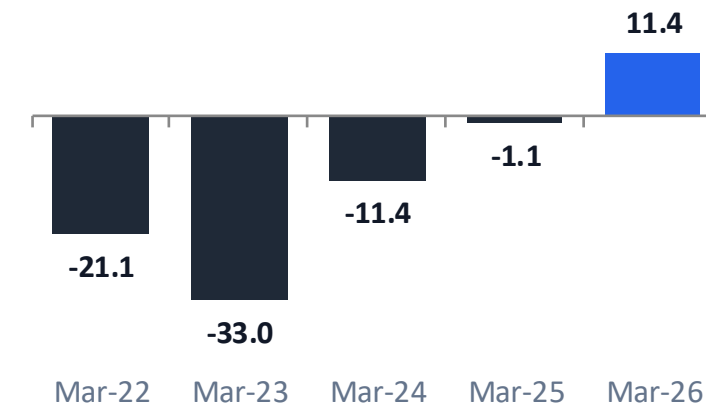
Revenue (\$M)



Gross margin



Operating income (\$M)



Four changes drove it



A shift to grid and industrial power

Grid revenue doubled from \$122.1M in Mar-24 to \$251.3M in Mar-26. About \$21.9M of that came from Comtrafo.



Acquisitions

NEPSI, Neeltran, NWL and Comtrafo added products, factories and customers.



Scale

Overhead (SG&A) fell from 21.7% to 19.3% of revenue between Mar-24 and Mar-26.



Fresh capital

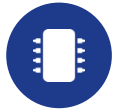
AMSC raised \$65.5M in the year to Mar-24 and \$124.6M (net) in June 2025 by selling 4.74 million shares at \$28.

Five things are driving growth now

Management points to these five drivers



Factories and traditional energy in the US and Latin America. Oil and gas activity, such as in the Permian Basin, strains the grid and creates a need for power control. Comtrafo opens factory-level and traditional energy customers.



Chip factories. The US is expected to grow chip-making capacity by about 200% by 2032, roughly double the world average. Each new fab needs steady power.



Electrification and clean power. Global spending on the energy transition was \$2.3T in 2025. Mining and heavy industry need voltage control and filtering.



AI, data centers and utilities. US utilities plan to spend more than \$1.2T over four years. AMSC delivered its first systems directly into a data center project in late 2025. Management still calls the data center market early.



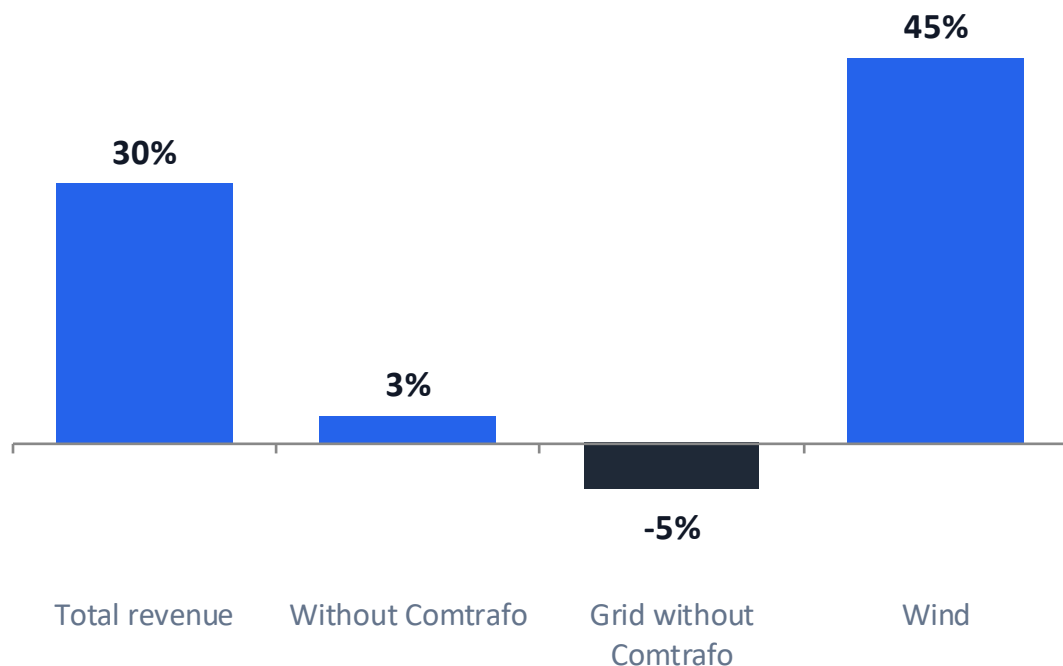
Defense. AMSC has a record \$75M order from the Royal Canadian Navy and five US Navy contracts. Management sees a revenue opportunity of about \$200M for AMSC in the US Navy LPD ship program, and about \$300M in the Canadian CSC program.

The June 2026 quarter showed demand. Orders passed \$130M, led by mining projects, and included a \$25M turnkey order for a North American mining project (SEC press release, MarketBeat call summary).

The story is credible, but not yet proven in earnings

In the June 2026 quarter, almost all of the growth came from Comtrafo and Wind

Revenue growth, June 2026 quarter vs a year earlier



Grid without Comtrafo was \$56.9M, down from \$60.1M. Wind was \$17.8M, up from \$12.3M.

What sits behind the headline

Growth without Comtrafo was only 3%. Inside that, Grid without Comtrafo fell 5% and only Wind grew, up 45%.

Gross margin fell to 26.3%, from 33.8% a year earlier. Management blamed product mix and Comtrafo accounting items.

Some deliveries were early. Management said customers asked to speed them up. It guided the September 2026 quarter to revenue above \$85M, below the \$94.1M just reported.

Data center orders are still early and small.

AMSC sells into large, growing markets

AMSC estimates its addressable market at more than \$15B (its own estimate). On that basis its \$299M of revenue is under 2% of the market

The power grid

70%

of US transmission lines are over 25 years old

4 years

delivery time for large transformers

\$1.2T

US utility spending expected over four years

- Permitting a new transmission line can take more than 10 years.
- Data centers, AI and electrification are adding load. A US executive order on grid reliability (April 2025) and a US Energy Department "speed to power" program across 26 states add support.
- Transformers are scarce. Prices are up about 80% in five years, according to pv magazine USA, citing PwC and Wood Mackenzie. AMSC sells shorter delivery times as an advantage.

Industry

\$110B

Mining and materials investment

\$185B

Semiconductor capacity investment

- Traditional energy is reviving, for example in the Permian Basin.
- More output strains the grid and raises the need for power quality equipment.

Navy and wind add two more demand streams

Both depend on government plans and support

Navy and defense

364 ships

In the US Navy's 2025 shipbuilding plan (2025 to 2054)

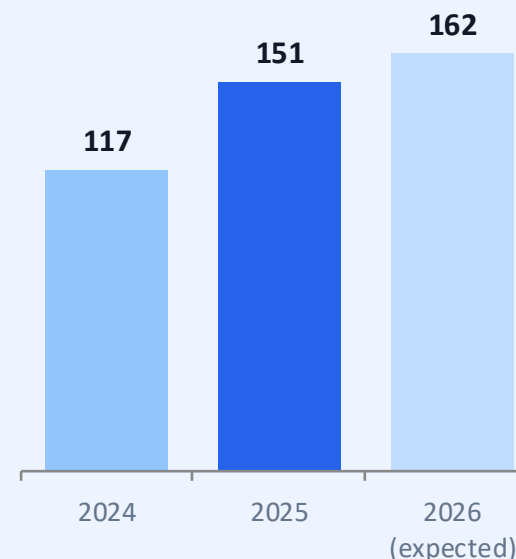
\$47B+

US federal money going into military ship systems

- Superconductor degaussing is estimated to cut system weight by 50% to 80% compared with copper.
- Four AMSC ship protection systems had been delivered through 2025.

Wind

Global wind installations (GW)



Over 162 GW is expected in 2026.

- About 151 GW in 2025, up from about 117 GW in 2024. Over 162 GW is expected in 2026 (GWEC).
- India added about 6.3 GW in 2025. Inox has an order book above 3 GW.
- Demand still depends on government support and on the price of other fuels.

AMSC is small next to its rivals

Many rivals have more money, bigger factories, larger R&D budgets and wider sales networks

Who AMSC competes with

Niche	Rivals
New energy systems	ABB, Hitachi, Ingeteam, Mitsubishi, Siemens
Power quality	Southern States, Controllix, Powerside, Elgin Power, Scott Manufacturing, QVARx
Transformers and power supplies	Friem, Dynapower, Nidec, Espey Manufacturing, Hammond, WEG, Kraft Powercon
REG (city grids)	Traditional options: new substations, overhead lines and underground cable
Ship protection	Ultra Maritime, L3Harris and Raytheon, which use copper-based systems
Wind	ABB for components; Siemens, Vestas and Suzlon indirectly; Aerovide and W2E for design engineering

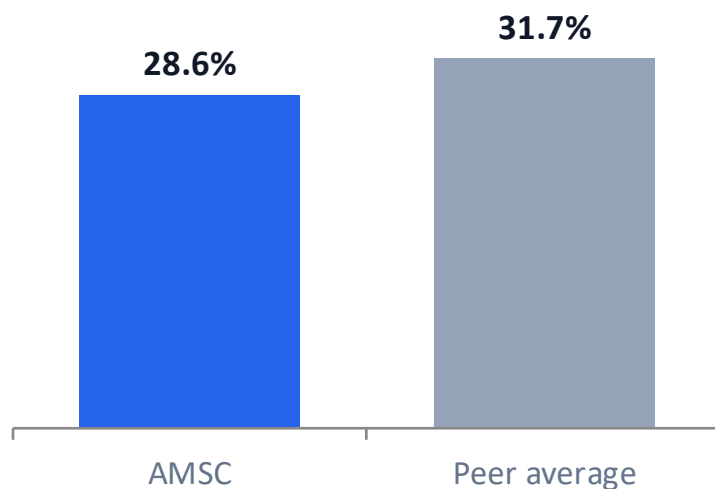
AMSC lists six strengths

- Shorter delivery times, thanks to its manufacturing and engineering work.
- A low-cost, scalable manufacturing base, mostly assembly.
- Differentiated technology: superconductor wire, Power Module converters and a proprietary cooler for ship systems.
- Turnkey systems sold directly to customers.
- Patents, trade secrets and engineering know-how.
- Unique solutions in its markets, such as wind turbine design plus control systems.

My view: the edge is real but narrow

AMSC is not yet showing pricing power, and its patents are running out

Gross margin, last twelve months



AMSC's gross margin (28.6%) is below the peer average of 31.7%, so it is not yet showing pricing power.

Patents are running out

2027

Grid patents begin to expire (the last in 2041)

2024

Superconductor wire patents began to expire (last in 2041)

2025

Wind patents began to expire (last in 2039)

Signs the edge is widening



Faster organic revenue growth



Backlog turning into sales



Higher gross and operating margins



Less reliance on a few customers

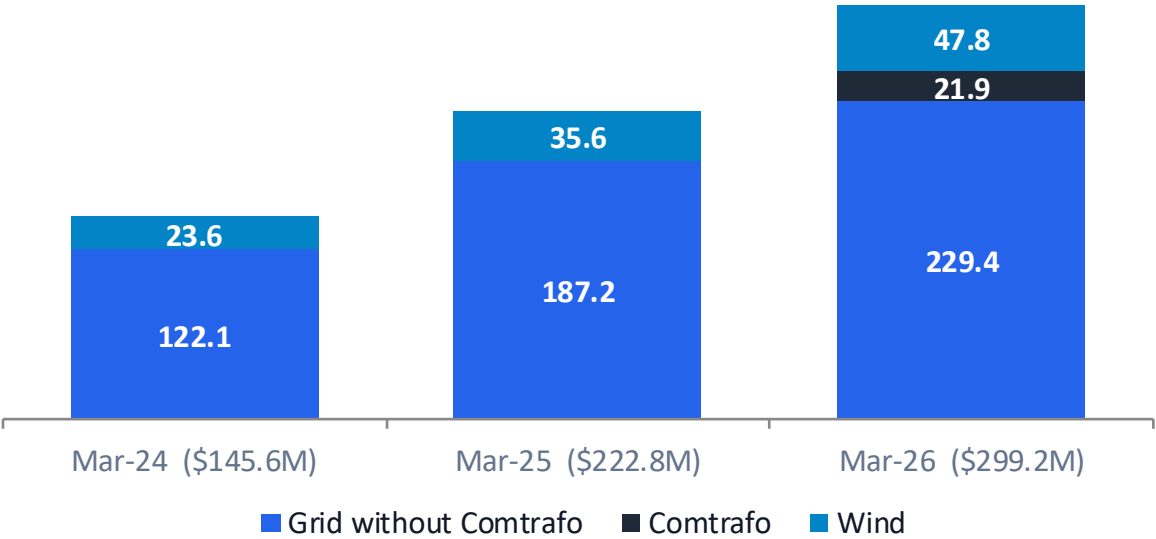


Wider use of AMSC's special technology

Revenue grew fast, but part of the growth was bought

Revenue was \$108.4M in Mar-22 and \$299.2M in Mar-26. Without Comtrafo, growth is much lower

Revenue by segment (\$M)



Revenue growth by year



How much of the Mar-26 growth was bought?

34%

Reported growth, Mar-26 vs Mar-25

24%

Without Comtrafo. This still includes four extra months of NWL, which AMSC bought in August 2024

About 11%

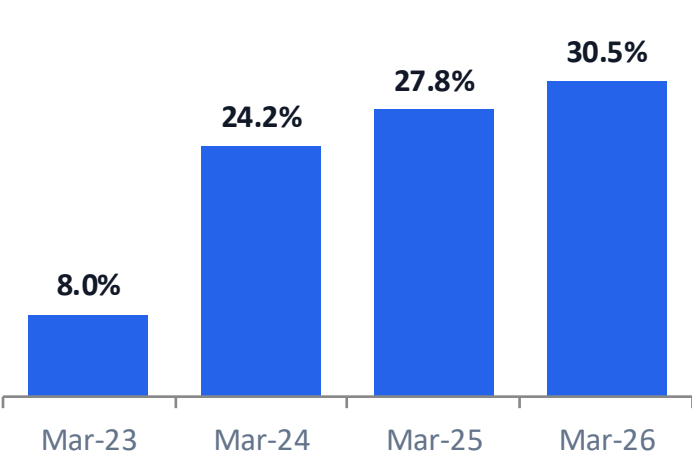
AMSC's own pro forma growth, from \$300.7M to \$333.8M. Pro forma means both acquisitions are owned for both years (unaudited)

Revenue over the last twelve months was \$320.9M. It holds only about seven months of Comtrafo, so a full year would make it higher.

Gross margin has risen, but profit margins are still thin

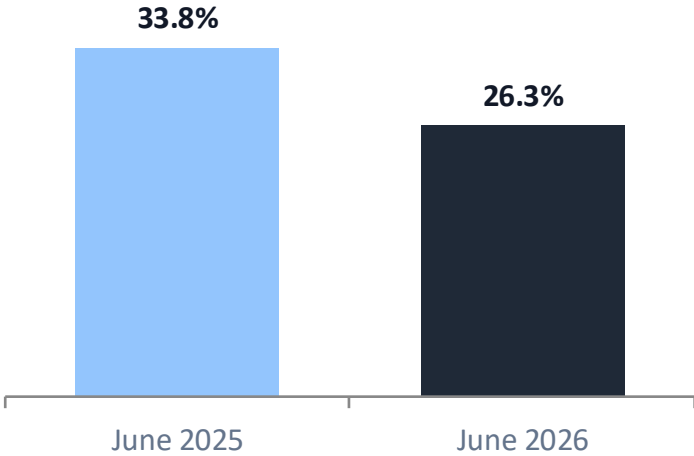
Adjusted EBITDA was 6.4% of revenue over the last twelve months. Peers earn about 18%

Gross margin by year



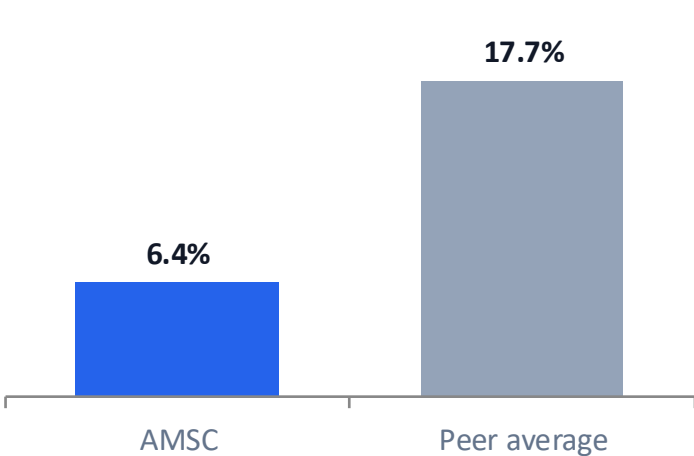
Gross margin rose from 8.0% in Mar-23 to 30.5% in Mar-26.

Gross margin, June quarter



Product mix and Comtrafo purchase accounting caused the drop.

Adjusted EBITDA margin, last twelve months



AMSC turns about 6 cents of each sales dollar into EBITDA. Peers turn about 18 cents.

\$23.0M

Adjusted EBITDA, Mar-26

\$20.5M

Adjusted EBITDA, last twelve months

About 5%

R&D as a share of revenue

About 19%

Overhead (SG&A) as a share of revenue

Reported profit is higher than the real earning power

Three items make the headline profit look better than the business really is

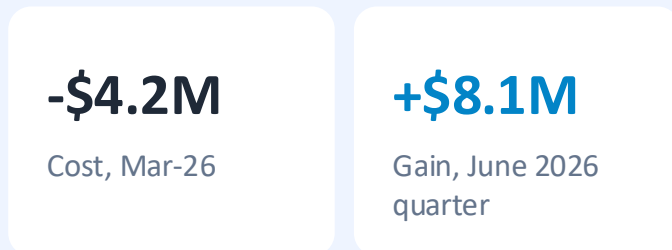
1. A one-time tax gain lifted Mar-26 net income



Releasing the allowance means AMSC now expects to use its past tax losses.

2. The Comtrafo earn-out

Changes in what AMSC expects to pay the sellers run through profit.



That gain is why June-quarter net income was \$9.5M, while adjusted operating profit was just \$1.7M.

3. Stock pay

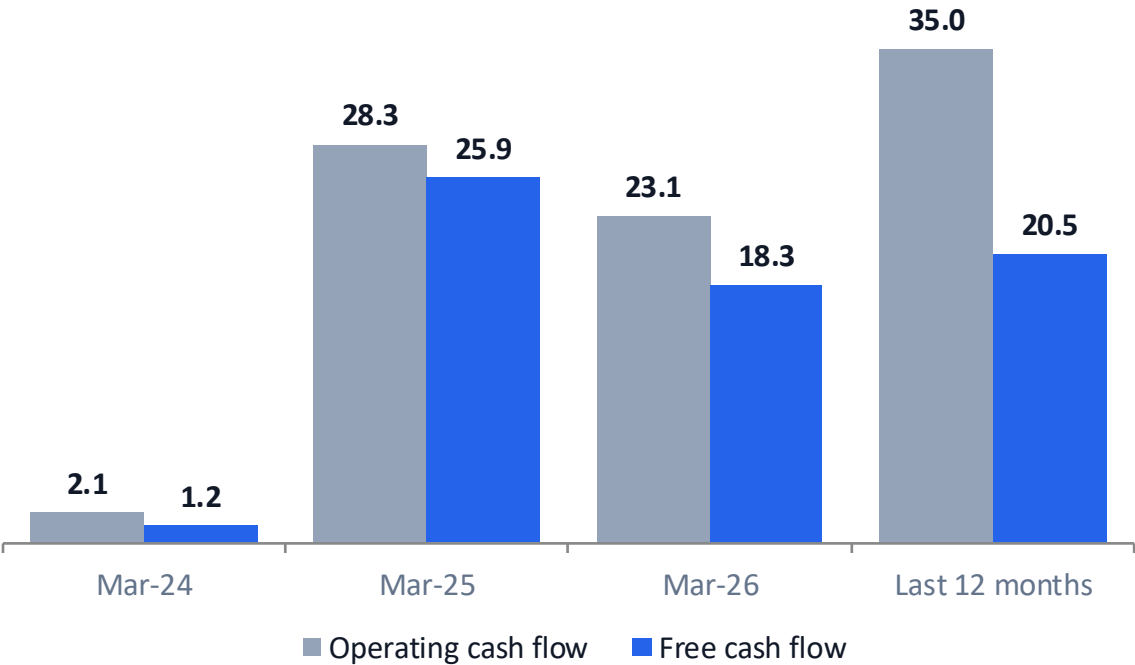
Stock-based pay was \$16.6M over the last twelve months, about 5% of revenue. My model treats it as a real cost.

The company's own non-GAAP net income for the June 2026 quarter fell to \$7.6M from \$11.6M a year earlier.

Growth uses cash, so free cash flow is modest

Free cash flow (operating cash flow less capital spending) was \$18.3M in Mar-26 and \$20.5M over the last twelve months

Operating and free cash flow (\$M)



Last twelve months run to 30 June 2026.

Where the cash went

Receivables

Mar-24 to Mar-26

\$26.3M → \$69.4M

Inventory

Mar-24 to Mar-26

\$41.9M → \$103.7M

Capital spending

June 2025 quarter to June 2026 quarter

\$0.8M → \$10.4M

Deferred revenue

Mar-24 to June 2026

\$57.8M → \$102.6M

Capital spending in the June 2026 quarter was partly for Brazilian real estate. Customer prepayments (deferred revenue) helped fund growth.

A strong balance sheet, with tax losses and a few watch items

Balance sheet at 30 June 2026

\$143.7M

Cash, plus \$9.4M of restricted cash

No debt

AMSC owes nothing to lenders

\$31.9M

Earn-out still owed for Comtrafo

48.4M

Shares, up 31% from 36.9M in Mar-24. Growth has cost dilution

Tax losses are worth real money, if AMSC makes profit

\$624.8M of US federal tax losses (\$73.0M of them never expire), and \$173.7M of state losses. AMSC paid only \$0.7M of cash tax in Mar-26.

\$119.8M deferred tax asset on the balance sheet. AMSC still keeps a \$45.0M allowance against it.

My model counts 60%, or \$71.9M (\$1.48 per share). The 60% is my judgment: the savings arrive only if AMSC earns enough taxable profit.

Two watch items

Goodwill of \$176.7M is 23% of \$762.2M in total assets. It could be written down if acquisitions disappoint.

Weak controls. AMSC reported a material weakness in how it accounted for the Comtrafo purchase. Errors in the opening balance sheet could go unnoticed. The company says it is fixing this.

I forecast five years in three cases

Base is my best guess. Bear and Bull show the range. The forecast runs from Mar-27 to Mar-31

Bear

Growth fades. Orders slow once the backlog is delivered. After a Comtrafo-driven jump in Mar-27, revenue grows about 2% a year.

Mar-27 → Mar-31 (yearly growth runs from Mar-26)

Revenue	\$339.4M → \$364.6M
Yearly growth	4%
Gross margin	26.5% → 27.5%
Overhead (SG&A)	20.0% → 18.0%
Operating (EBIT) margin	1.4% → 5.3%
Free cash flow	\$1.4M → \$9.8M
Normalized EPS	\$0.08 → \$0.30

\$5.45 cash-flow value per share, 82% below the price

Base

Backlog turns into steady growth. Grid without Comtrafo grows 5% in Mar-27, then 15% to 20% a year. Margins rise as overhead is spread over more revenue.

Mar-27 → Mar-31 (yearly growth runs from Mar-26)

Revenue	\$382.2M → \$673.5M
Yearly growth	18%
Gross margin	28.5% → 32.0%
Overhead (SG&A)	19.0% → 15.2%
Operating (EBIT) margin	4.5% → 12.7%
Free cash flow	\$4.3M → \$50.0M
Normalized EPS	\$0.27 → \$1.32

\$11.47 cash-flow value per share, 62% below the price

Bull

New markets snowball. Data centers, mining projects and Navy programs add large orders. Growth runs near 40% a year.

Mar-27 → Mar-31 (yearly growth runs from Mar-26)

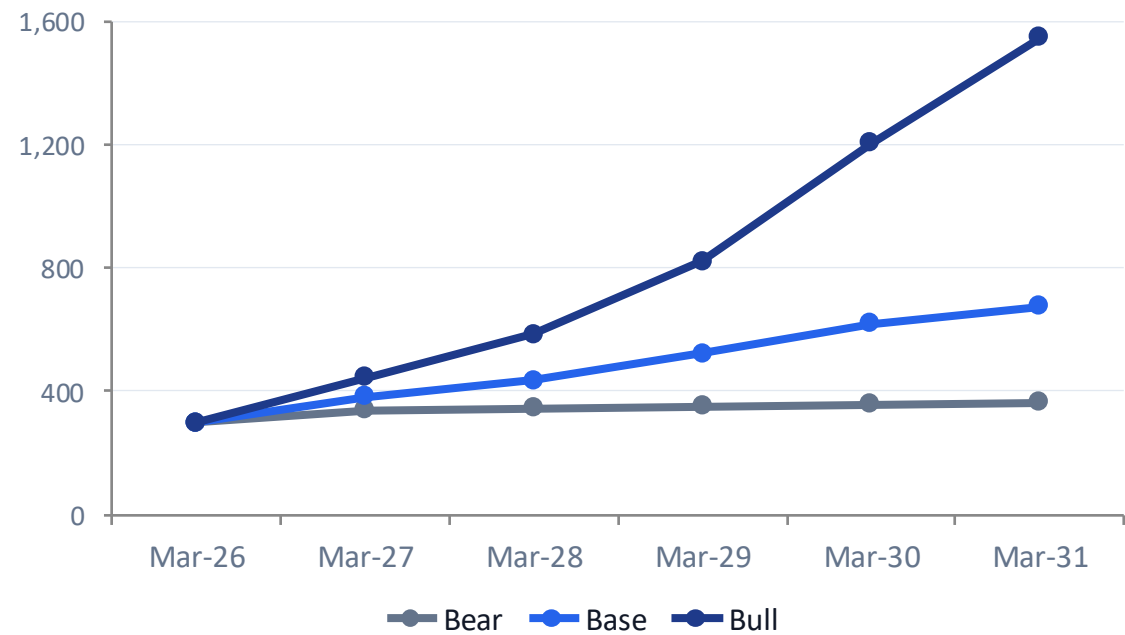
Revenue	\$446.0M → \$1,547.0M
Yearly growth	39%
Gross margin	29.5% → 35.0%
Overhead (SG&A)	18.5% → 13.5%
Operating (EBIT) margin	6.1% → 17.4%
Free cash flow	\$2.4M → \$142.3M
Normalized EPS	\$0.42 → \$4.18

\$24.45 cash-flow value per share, 19% below the price

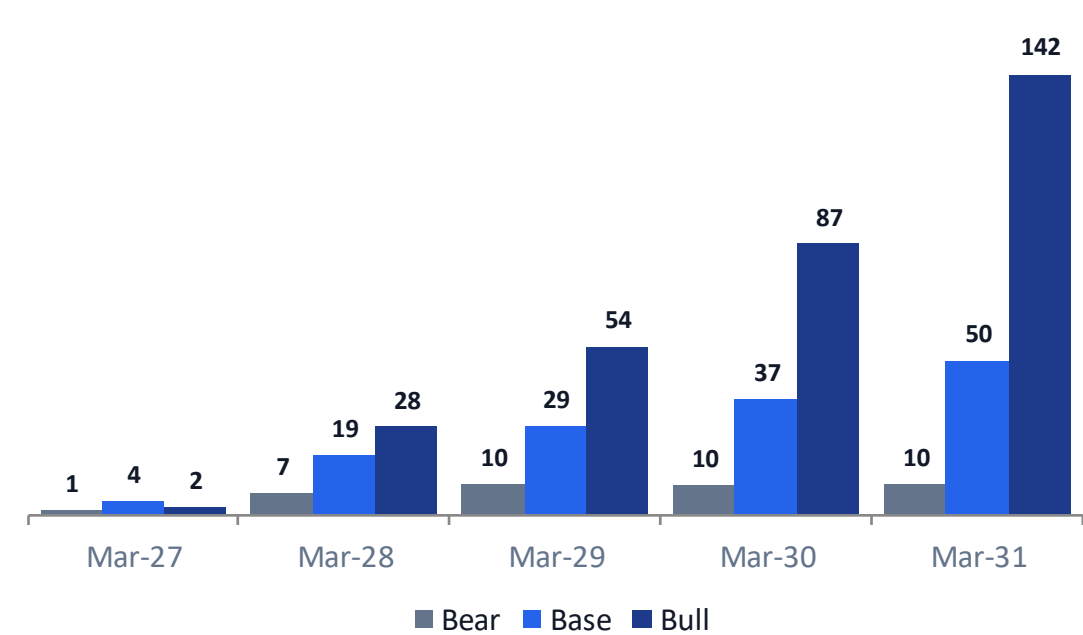
Revenue and cash flow: the three cases fan out

By Mar-31 Bull revenue is more than four times Bear. Bull free cash flow is more than ten times Bear

Revenue (\$M)



Free cash flow (\$M)



\$364.6M
Bear revenue, Mar-31

\$673.5M
Base revenue, Mar-31

\$1,547.0M
Bull revenue, Mar-31

Base free cash flow is low in Mar-27 (\$4.3M) because capital spending is 4.5% of revenue that year.

The assumptions behind each case

Growth and margin assumptions by case and year

Driver	Case	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31
Grid without Comtrafo, revenue growth	Bear	-4%	1%	2%	2%	2%
	Base	5%	15%	20%	20%	10%
	Bull	25%	30%	40%	50%	30%
Comtrafo, revenue growth	Bear	-5%	2%	2%	2%	2%
	Base	5%	10%	15%	12%	5%
	Bull	25%	30%	35%	40%	30%
Wind, revenue growth	Bear	-5%	1%	2%	2%	2%
	Base	25%	15%	25%	20%	10%
	Bull	30%	40%	50%	40%	20%
Gross margin	Bear	26.5%	27%	27.5%	27.5%	27.5%
	Base	28.5%	30%	31%	31.5%	32%
	Bull	29.5%	31.5%	33%	34%	35%
Overhead (SG&A), share of revenue	Bear	20%	19.5%	19%	18.5%	18%
	Base	19%	17.5%	16.5%	15.8%	15.2%
	Bull	18.5%	16.5%	15%	14%	13.5%

How the forecast works: I forecast revenue in three pieces, then apply gross margin, R&D, overhead and capital spending. Tax is 25%, working capital is 13% of revenue and shares are 48.4 million. The result is free cash flow.

A closer look at the Base case

Base growth looks high in Mar-27, and Base needs a big step up in quarterly revenue and profit

Why Base growth looks high in Mar-27

27.7%

Base revenue growth in Mar-27

About 14.5%

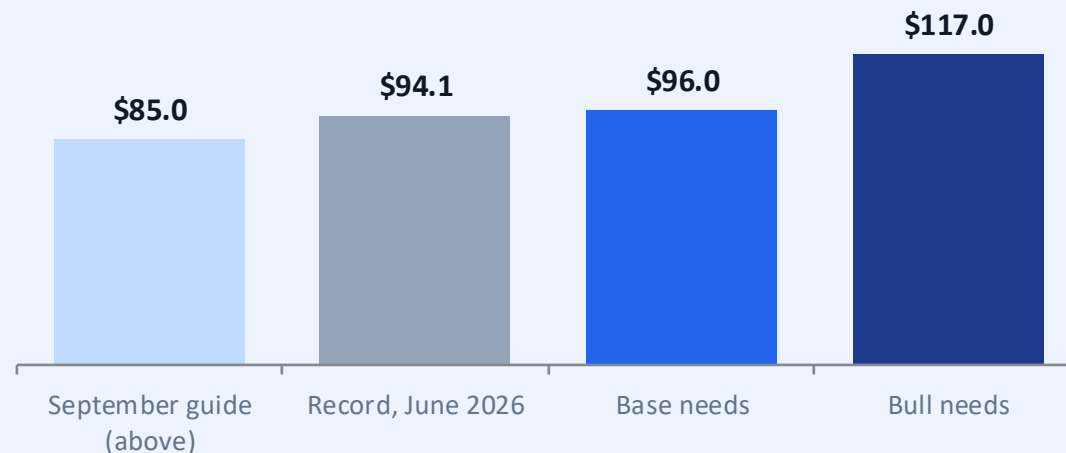
Growth against AMSC's pro forma Mar-26 revenue of \$333.8M

Most of it is Contrafo's first full year: \$81.5M against \$21.9M.

The older Grid business grows 5% and Wind grows 25%.

Margin check. Base lifts EBITDA margin from 6.4% today to 15.2% in Mar-31. Peers earn 17.7% today, so Base already assumes AMSC almost catches up.

Revenue per quarter that each case needs (\$M)



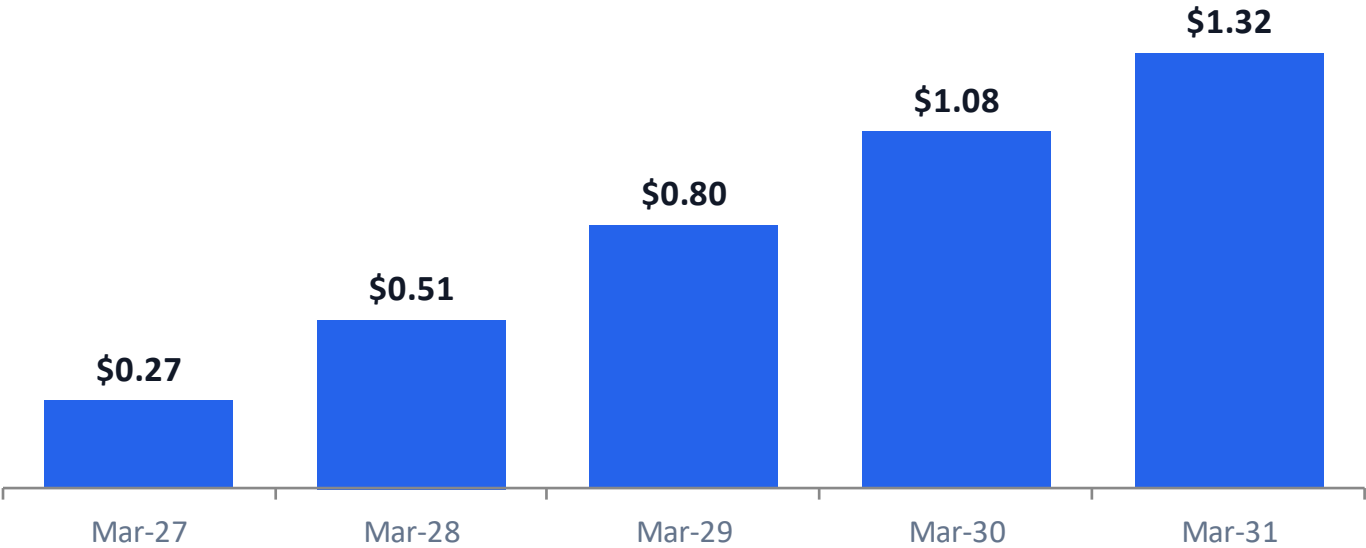
Base needs \$382.2M in Mar-27. After the first quarter (\$94.1M), that is about \$96M a quarter for the next three. Bull needs about \$117M a quarter.

Profit check. Base needs adjusted operating profit of \$17.2M in Mar-27. The first quarter gave \$1.7M, so the next three quarters must add about \$15.5M.

The price needs earnings per share to grow very fast

Base normalized EPS is \$0.27 in Mar-27, so the stock trades at about 113 times it

Base case normalized EPS (\$ per share)



Price to EPS at \$30.01



What this means

- 113 times EPS only works** if EPS keeps growing very fast for several years.
- Even in Base, EPS must grow 92%, 56%, 35% and 22%** in the next four years before the multiple falls to about 23 times.
- Normalized EPS** is operating profit after a 25% tax, divided by shares. It leaves out one-time items and interest income.

I value AMSC two ways and blend them into one number

A cash-flow model (DCF) asks what the future cash is worth today. Peer multiples ask how the market prices similar companies

Cash-flow value (DCF)

50% weight

\$11.47

Base case

Bear \$5.45 | Bull \$24.45

62% below the price

Peers: EV to revenue

25% weight

\$31.03

Middle value

Range \$21.84 to \$41.05

3% above the price

Peers: EV to EBITDA

25% weight

\$13.54

Middle value

Range \$12.32 to \$15.45

55% below the price

\$16.88

Blended value per share

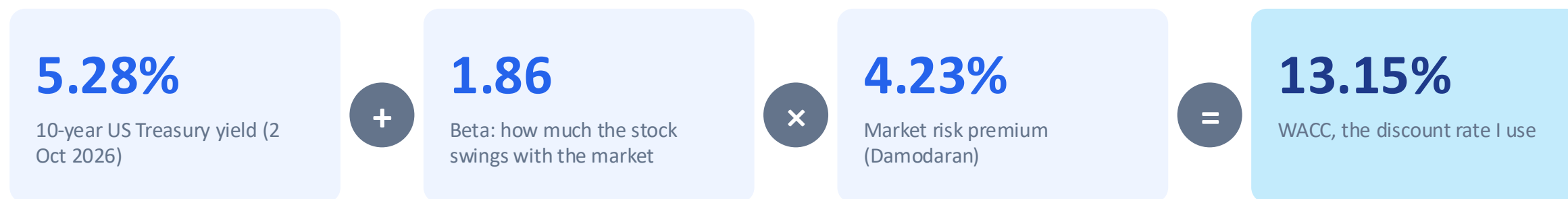
$$0.50 \times \$11.47 + 0.25 \times \$31.03 + 0.25 \times \$13.54$$

That is 43.8% below the \$30.01 price. Only one of my three values, the sales multiple, comes close to the current price. I weight each value by how much I trust it.

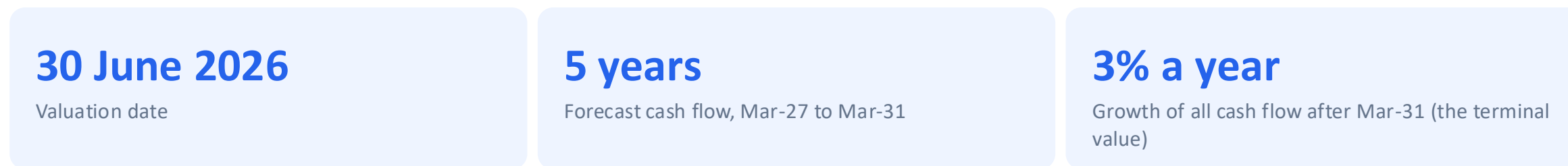
Method 1: the cash-flow value (DCF)

A DCF adds up the free cash AMSC should earn and discounts it back to today, because cash tomorrow is worth less than cash today

The discount rate (WACC) is the yearly return investors expect for the risk of the business



$$WACC = 5.28\% + 1.86 \times 4.23\% = 13.15\%$$



No debt, so WACC is the cost of equity. The raw 5-year beta is above 3. I use 1.86, and a higher beta would push my values down.

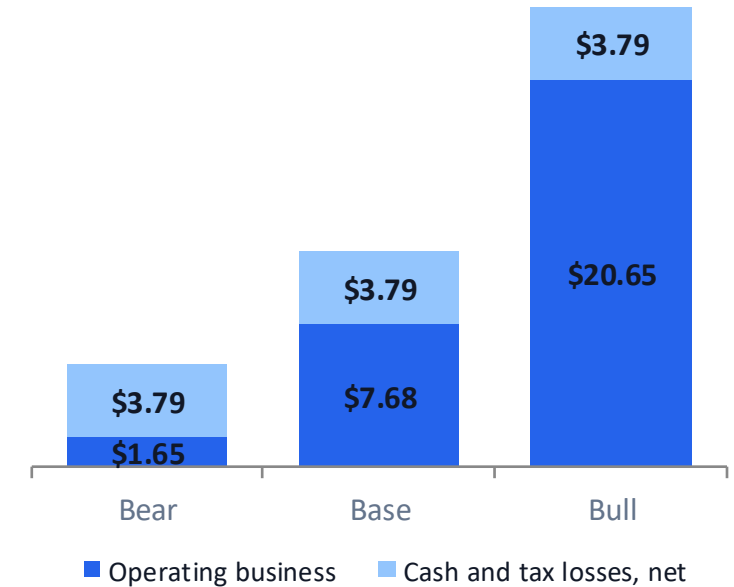
DCF result: \$5.45 in Bear, \$11.47 in Base and \$24.45 in Bull

Even my Bull case is 19% below today's price of \$30.01

\$ millions, unless noted	Bear	Base	Bull
Enterprise value (operating business)	80.2	372.1	1,000.5
Terminal value, share of EV	69%	76%	80%
+ Cash	143.7	143.7	143.7
+ Tax losses (60% of \$119.8M deferred tax asset)	71.9	71.9	71.9
– Contrafo earn-out	(31.9)	(31.9)	(31.9)
= Equity value	263.8	555.8	1,184.2
÷ Shares (millions)	48.4	48.4	48.4
Value per share (\$)	5.45	11.47	24.45
Versus the \$30.01 price	-82%	-62%	-19%

EV does not include cash or debts, so I adjust it. AMSC has no debt. The net adjustment is +\$183.7M, or \$3.79 per share.

Value per share (\$)



In Base, \$7.68 of the \$11.47 comes from the operating business and \$3.79 from cash and tax losses.

The discount rate is not the main issue

Base value stays between \$9.64 and \$14.85 when WACC runs from 11.15% to 15.15% and terminal growth from 2% to 4%

Base-case value per share (\$), by WACC and terminal growth

WACC \ growth	2.0%	2.5%	3.0%	3.5%	4.0%
11.15%	12.73	13.17	13.66	14.22	14.85
12.15%	11.72	12.07	12.45	12.87	13.35
13.15%	10.90	11.17	11.47	11.81	12.17
14.15%	10.22	10.44	10.68	10.94	11.23
15.15%	9.64	9.82	10.02	10.23	10.47

The middle cell, 13.15% and 3%, is my Base value of \$11.47.

What the table shows

\$9.64 to \$14.85

Base value range across the whole table

Even the best corner (\$14.85) is about half of today's \$30.01.

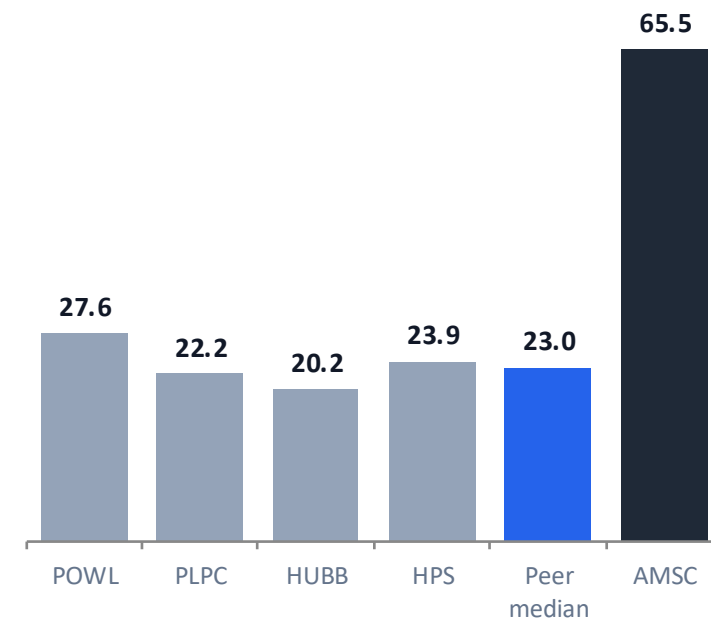
The real gap is not the discount rate. It is the multiple AMSC is worth at the end of the forecast, shown later.

Method 2: peer multiples

A multiple is the price the market pays for one dollar of a company's sales or profit. I compare AMSC with four peers

Company	EV to revenue	EV to EBITDA	Gross margin	EBITDA margin
Powell (POWL)	5.62x	27.6x	30.1%	20.4%
Preformed Line Products (PLPC)	2.73x	22.2x	31.4%	12.3%
Hubbell (HUBB)	4.84x	20.2x	35.2%	24.0%
Hammond Power Solutions (HPS)	3.39x	23.9x	30.3%	14.2%
Peers: median (multiples) and average (margins)	4.11x	23.0x	31.7%	17.7%
AMSC	4.18x	65.5x	28.6%	6.4%

EV to EBITDA (times)



A timing note. HUBB and HPS bought large companies just before quarter-end, so their multiples likely look high. AMSC's last twelve months hold only about seven months of Comtrafo. The errors partly offset.

AMSC trades at 2.8 times the peer median.

On sales AMSC is priced like its peers. On profit it is not

The two peer methods disagree: sales says fairly priced, profit says expensive

On sales (EV to revenue)

4.18x

AMSC

4.11x

Peer median



Middle value \$31.03, 3% above the price

On profit (EV to EBITDA)

65.5x

AMSC

23.0x

Peer median



Middle value \$13.54, 55% below the price

\$58M

EBITDA AMSC would need, not
\$20.5M

The reason is low margin. AMSC turns about 6 cents of each sales dollar into EBITDA. Peers turn about 18 cents.

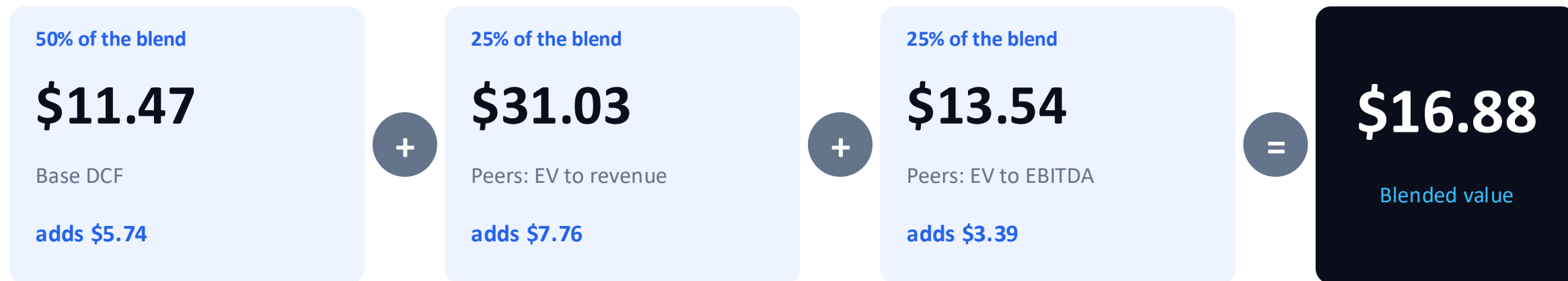
To match the peer EV to EBITDA multiple at today's price, AMSC would need about \$58M of EBITDA (an 18.1% margin). So the price already assumes AMSC's margins will catch up.

Peer comparison is relative. If the whole group is overpriced, matching it gives no safety.

VALUATION

I blend three values into \$16.88 per share

That is 43.8% below the \$30.01 price



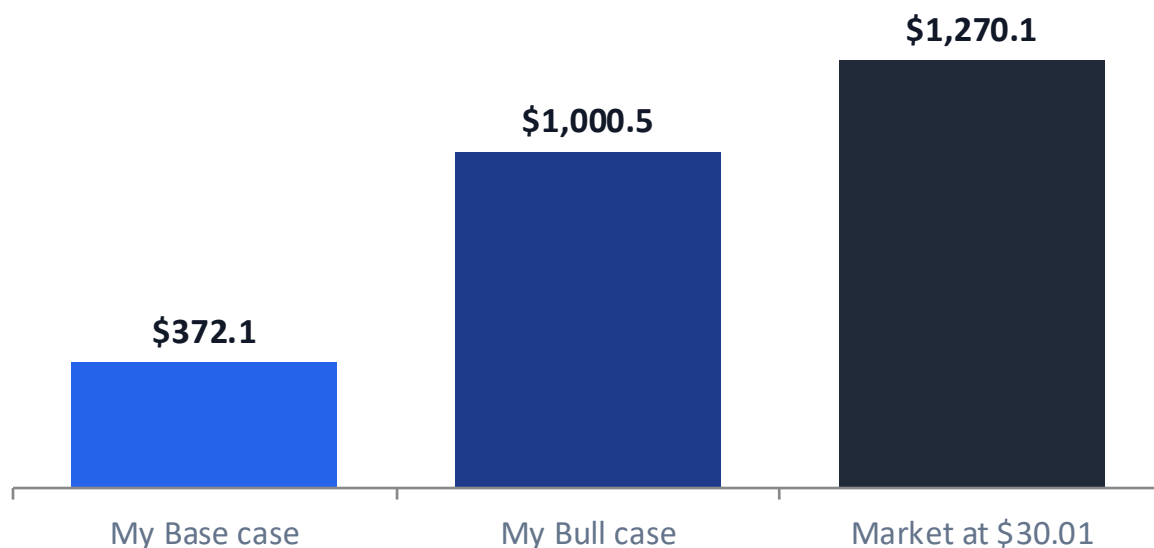
I weight each value by how much I trust it. I give the sales multiple a low weight (25%) because it ignores AMSC's thin margins. The weights are my judgment and can be changed.



What you need to believe at \$30.01

At \$30.01 the market values the operating business at about \$1,270M. My Base case values it at \$372M

Value of the operating business, enterprise value (\$M)



Market value of the operating business = \$1,453.7M market cap less the \$183.7M net adjustment.

29%

of the market's value is my Base case

79%

of the market's value is my Bull case

Two stories can justify \$30

About 6x

Bull-case results, modest ending multiple

AMSC reaches about \$1.5B of revenue by Mar-31, and the business is then valued at only about 6 times EBITDA.

About 21x

Base-case results, high ending multiple

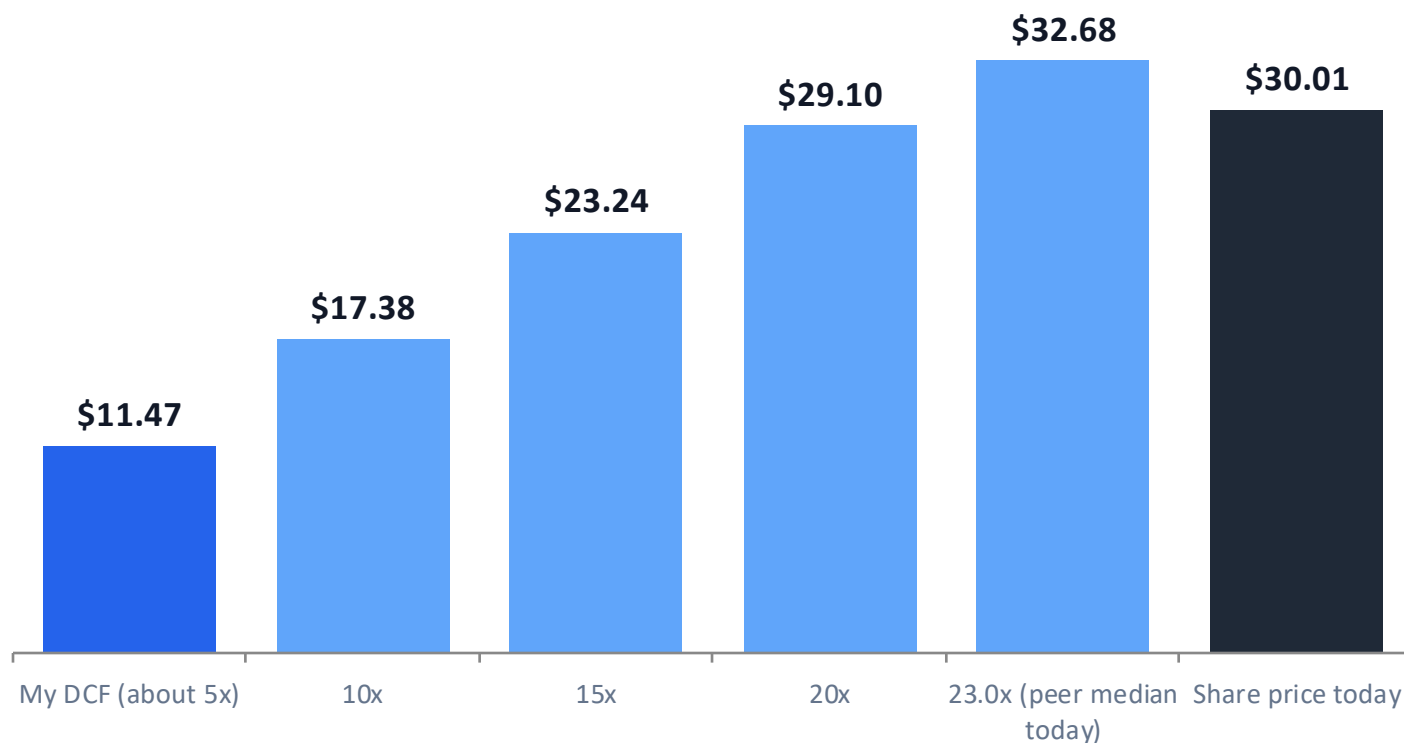
The business is valued at about 21 times EBITDA in March 2031. Peers trade at 20x to 28x today.

This points to the real gap. My DCF ends with the business worth about 5 times EBITDA in Mar-31, far below today's peer multiples.

Everything depends on the multiple AMSC is worth in 2031

If AMSC still trades like today's peers in 2031, the Base case is worth much more. I checked this outside the model

Base case value per share (\$), by ending EV to EBITDA multiple at Mar-31



My judgment

Growth slows. In Mar-31 the Base business grows about 9%. That kind of business deserves roughly 10x to 15x EBITDA, not 20x or more.

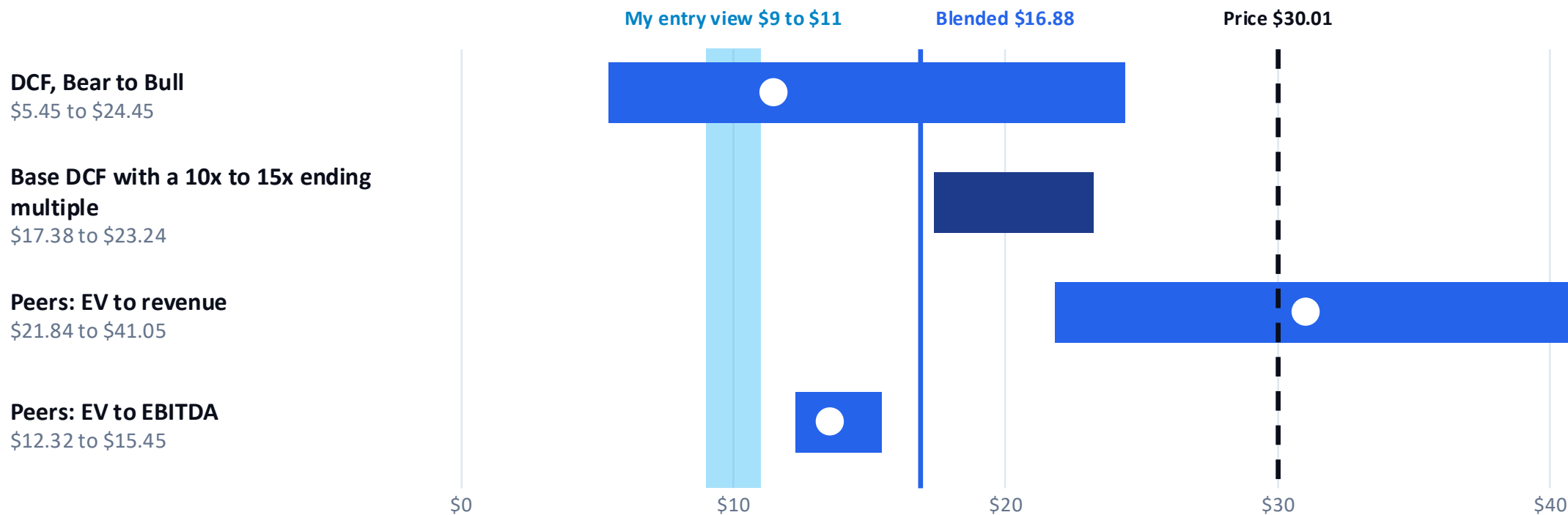
A 10x ending multiple gives \$17.38, which is close to my \$16.88 blended value.

My rating rests on this one judgment. A higher multiple would move my value up.

VALUATION

My conclusion on value: roughly \$11 to \$31, with a blend of \$16.88

At \$30.01 the stock sits near the top of that range, which supports an Underweight rating



White dot = middle value or Base value. Dashed line = share price.

My fair value range is roughly \$11 (Base DCF) to \$31 (sales multiple). The blend is \$16.88, so I rate AMSC Underweight.

Risks to the business

The biggest risks are that growth slows, margins do not improve, and the profit figures hide weaker earning power



Two customers matter a lot

Inox was 15% of revenue in Mar-26 and 19% in the June 2026 quarter. Fuji Bridex was 10%. Inox has failed in the past to post letters of credit and take delivery of forecast orders.



Backlog is not a guarantee

Orders can be cancelled, cut or delayed, and some may not be profitable.



Acquisitions may disappoint

Comtrafo and NWL may not deliver the benefits AMSC expects. Comtrafo and AMSC Brazil posted a \$3.2M net loss in their first four months, including a \$4.2M earn-out charge.



Suppliers

AMSC relies on third parties for many parts, and some come from a single source. Tariffs on stainless steel add cost.



Government contracts

US and Canadian contracts can be audited, changed or ended, and funding depends on yearly budgets.



New products sell slowly

AMSC has had limited success selling superconductor system solutions such as REG.



Emerging markets and currency

Brazil and India add political and rule changes. About 16% of revenue is in euros and 7% in Brazilian reals.



Wars and the economy

The US-Israel-Iran conflict has disrupted energy markets and supply chains.



Wind depends on others

Wind demand relies on government support and on turbine makers licensing AMSC designs.

Risks to the numbers

Reported profit and margins can look better, or worse, than the real earning power



Profit quality

Tax gains and earn-out swings can inflate or cut reported profit. AMSC released \$118.4M of its tax allowance in Mar-26, and it could reverse that if profits disappoint. A \$45.0M allowance remains.



Margins

Gross margin fell to 26.3% in the latest quarter. My Base case needs it to recover to 32%.



Dilution

AMSC has had negative operating cash flow in past years and may need more funding. Shares are already up 31% in two years.



Lumpy results

Quarterly results can swing, and costs are hard to cut quickly. Management said the June 2026 quarter included early deliveries.



Goodwill

\$176.7M of goodwill could be written down if acquisitions disappoint.



Weak controls

AMSC found a material weakness in how it accounted for the Contrafo purchase.

Risks in the technology and the stock price

And the risk that my own view is wrong

Technology



Patents expire

Grid patents begin to expire in 2027 (the last in 2041). Superconductor wire patents began expiring in 2024 (last in 2041). Wind patents began in 2025 (last in 2039).



Slow acceptance

Superconductor products still face technical hurdles before wide use.



Legal claims

AMSC could face claims over other firms' intellectual property, and it may need outside licenses for superconductor materials.

Stock price



Big swings

The raw 5-year beta is above 3, so the stock can move much more than the market, up or down.



High expectations

At \$30.01, the price needs strong results. A miss could hit the stock hard.

Risks that my view is wrong



I may be too cautious

If data center, mining and Navy orders arrive faster, results could look like my Bull case.

AI and electrification stocks can stay expensive for a long time.

Checkpoints for the next three quarters

These facts will tell me whether the Base case, or the Bull case, is on track

What I watch	Where it is now	What I want to see
Organic growth	3% in the June 2026 quarter	More than 10% for three quarters in a row
Gross margin	26.3% in the June 2026 quarter	Back above 30%. Base assumes 28.5% for Mar-27 and 30.0% for Mar-28
Revenue against Base	\$94.1M in the first quarter. The September guide is above \$85M	About \$96M a quarter for the next three, to reach \$382.2M in Mar-27. This is a clear test
Adjusted operating profit	\$1.7M in the first quarter	About \$15.5M more over the next three quarters, to reach \$17.2M in Mar-27
Data centers	Early and small	Named, repeat orders
Customer mix	Inox was 19% of revenue	Inox back below 15% as other markets grow
Controls	Material weakness over the Comtrafo purchase	Reported as fixed

EPS check: Base normalized EPS is \$0.27 in Mar-27, so the stock trades at about 113 times it. That only works if EPS keeps growing very fast.

What would change my view

Signs that would make me more negative, and signs that would raise my value

What would make me more negative

- Organic growth stays near 3% or turns negative.
- Gross margin stays below 27%.
- September-quarter revenue comes in below the \$85M guide.
- Inox cuts orders, or backlog gets delayed or cancelled.
- AMSC sells more shares or has to reverse part of its tax allowance release.

What would raise my value

- Three straight quarters of organic growth above 10%, with gross margin above 30%.
- Large, named data center or Navy orders that show up as revenue.
- Margins moving toward the peer average, with adjusted EBITDA margin heading above 10%.

If the good signs happen, I would move weight from the Base case toward the Bull case and review my rating.

MY CONCLUSION

Underweight, and I would wait

The business is real, but the price already assumes the hard part is done

Share price, 2 Oct 2026

\$30.01

My blended value

\$16.88

My Base DCF value

\$11.47

Where I would get interested

\$9 to \$11

What I am waiting for

- Organic growth that speeds up
- Gross margin back above 30%
- Or a price that falls toward about \$9 to \$11
- And proof that the business can generate cash that does not come from acquisitions

MY RATING

Underweight

Plain-English glossary (A to G)

This glossary explains the terms used in the report

Adjusted EBIT

Operating profit with earn-out gains and losses removed, because they do not reflect day-to-day business.

Adjusted EBITDA

Adjusted EBIT plus depreciation and amortization, which are costs that do not use cash in the year.

Backlog

Orders signed but not yet delivered.

Beta

How much a stock swings compared with the overall market. A beta of 2 means it tends to move twice as much.

D-VAR, ECS, REG, SPS

AMSC products: voltage control systems; electrical control systems for wind turbines; the Resilient Electric Grid for cities; and Ship Protection Systems for navies.

DCF (discounted cash flow)

A way to value a business by adding up its future free cash flow, reduced to today's value.

Deferred tax asset

A balance-sheet item for future tax savings, mostly from past tax losses.

Ending multiple

The EV to EBITDA multiple the business is valued at in Mar-31, the end of the forecast.

Enterprise value (EV)

The value of the operating business: market cap, less cash, plus debt and similar claims.

Equity bridge

The step from enterprise value to the value of shares: add cash and tax losses, subtract debt and earn-outs.

Free cash flow (FCF)

Cash left after running the business and paying for capital spending.

Gross margin

The share of sales left after the direct cost of making the product.

Plain-English glossary (H to W)

This glossary explains the terms used in the report

HTS (high-temperature superconductor)

A wire that carries electricity with almost no loss.

Margin of safety

How far the price is below my estimate of value.
Negative means the price is above value.

Normalized EPS

Operating profit after a 25% tax, divided by shares. It leaves out one-time items and interest income.

Organic growth

Growth without counting acquired companies.

Peer multiple

The price the market pays for \$1 of a similar company's sales or profit.

Pro forma

Results shown as if an acquisition had been owned for the whole period.

Tax losses (NOL)

Past losses that can be used to cut future tax bills.

Terminal value

The value of all cash flow after the forecast period.

Turnkey

A complete project sold as one package: design, equipment and installation.

Underweight

My rating. It means my blended value is below the share price.

Valuation allowance

A reserve against a deferred tax asset when a company doubts it will use it. Releasing it creates a one-time tax gain.

WACC

The yearly return investors expect for the risk of the business. I use it to discount future cash.

Sources and disclosures

Where the facts came from, and what this report is and is not

Company and peer documents

- AMSC annual report (Form 10-K) for the year ended 31 March 2026, and annual reports for the years ended March 2021 to March 2025
- AMSC quarterly report (Form 10-Q) for the quarter ended 30 June 2026
- AMSC investor presentation, August 2026
- Peer filings: Powell Industries, Preformed Line Products, Hubbell and Hammond Power Solutions
- AMSC_Model.xlsx (my financial model) and my research notes
- Market inputs in the model: 10-year US Treasury yield (2 October 2026), Damodaran implied equity risk premium, and share prices from StockAnalysis.com, cross-checked with MarketBeat and Google Finance

Web sources

- [StockAnalysis.com: AMSC analyst consensus and beta](#)
- [AMSC first-quarter fiscal 2026 results, SEC filing \(Exhibit 99.1\)](#)
- [MarketBeat: AMSC Q1 earnings call highlights, 6 August 2026](#)
- [pv magazine USA: US transformer supply constraints, 11 May 2026](#)
- [FRED: 10-year US Treasury yield](#)

Market-size and industry figures (the \$15B addressable market, wind installations, Navy shipbuilding and utility spending) come from AMSC's 10-K and investor presentation, which cite third-party sources such as GWEC, SEMI and the US Department of Defense.

Disclosures. This report is an independent research project for learning and portfolio purposes. It is not investment advice or a recommendation to buy or sell any security. All figures are estimates, they depend on judgments that are stated in the report, and prices are as of 2 October 2026.